

Module – 1: Introduction to International Business

MEANING AND DEFINITION OF INTERNATIONAL BUSINESS

The business and its related transactions taking place beyond national boundaries are termed as international business. International business is an all-inclusive term which includes FDI (foreign direct investment), globalisation, trade policies, multinational companies and their tactics, mergers and acquisitions, export-import, managing international human resource, cross-cultural management, and the effects of dynamic global factors on business.

Presently, international business has become a necessity for every country whether developed or developing. When economic resources like goods, capital, services i.e., skilled labour, technology, transportation) and international production are exchanged across international borders, international business takes place. This production does not necessarily involve tangible products but it also involves services like finance, banking, construction, etc. International business also encompasses FDI (foreign direct investment).

According to Robock and Simmonds, "International business is defined as a field of management training (that) deals with the special features of business activities that cross national boundaries".

According to Czinkotra and Grosse and Kojawa, "International business is defined as transactions devised and carries out across international borders to satisfy corporations and individuals".

International business = Business transactions crossing national borders at any stage of the transaction

EVOLUTION OF INTERNATIONAL BUSINESS

The origin of international business goes back to human civilisation. Historically periods of greater openness to trade have been characterised by stronger but lopsided global growth. The concept of international business a broader concept relating to the integration of economies and societies, dates back to the 19th century. The first phase of globalisation began around 1870 and ended with the World War 1 (1919) driven by the industrial revolution in UK, Germany and the USA. The import of raw materials by colonial empires from their colonies and exporting finished goods to their overseas possessions was the main reason for the sharp increase in the trade during this phase.

The ratio of trade to GDP was as high as 22.1 in 1913. Later, various governments initiated and imposed a number of barriers to trade to protect their domestic production that led to decline in the ratio of trade to GDP to 9.1 during 1930s. The international trade between two World Wars has been described as 'a vast game of beggar-my-neighbour'.

Advanced countries experienced a severe setback consequent upon the imposition of trade barriers as they produced in excess of domestic demand and a decline in the volume of

international trade. Added to this, the breakdown of the gold standard resulted in vacuum in the field of international trade. Then the world nations felt the need for international co-operation in global trade and balance of payments affairs. These efforts resulted in the establishment of the International Monetary Fund (IMF) and the International Bank for Reconstruction and Development (IBRD-popularly known as the World Bank).

The prolonged recession before the World War II in the West, led to an international consensus after the World War II that a different approach towards international trade was required. Consequently, 23 countries conducted negotiations in 1947 in order to prevent the protectionist policies and to revive the economies from recession aiming at the establishment of the International Trade Organisation.

This attempt of the advanced countries ended with the General Agreement on Trade and Tariffs (GATT) that provided a framework for a series of 'rounds of negotiations by which tariffs were reduced. Efforts to convert the General Agreement on Trade and Tariffs (GATT) into World Trade Organisation (WTO) were intensified during 1980s and ultimately GATT was replaced by the WTO on 1 January 1995, envisaging trade liberalisation. The efforts of IMF, World Bank and WTO along with the efforts of individual countries due to economic limitations of the closed economies led to the globalisation of business. Globalisation gave fillip to international business particularly during 1990s.

In fact, the term international business was not popular before two decades. The term international business has emerged from the term 'international marketing', which in turn emerged from the term 'international trade'

1. International Trade to International Marketing : Originally, the producers used to export their products to the nearby countries and gradually extended the exports to far-off countries. Gradually, the companies extended the operations beyond trade.

For Example - India used to export raw cotton, raw jute and iron ore during the early 1900s. The massive industrialisation in the country enabled us to export jute products, cotton garments and steel during 1960s.

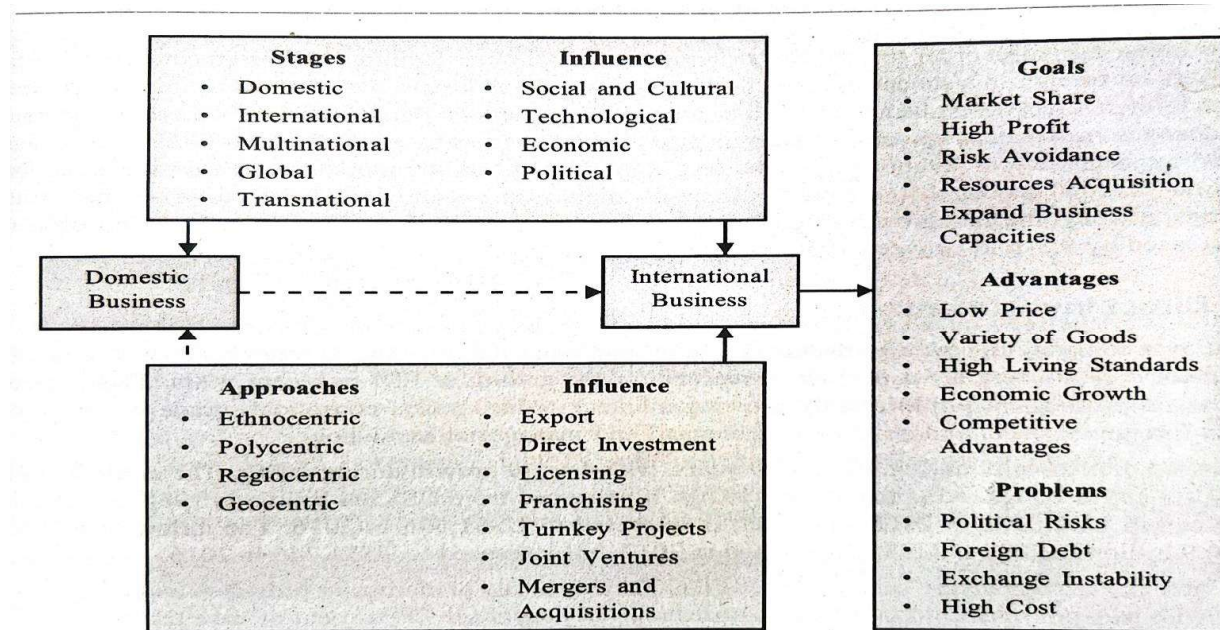
India, during 1980s could create markets for its products, in addition to mere exporting. The export marketing efforts include creation of demand for Indian products like textiles, electronics, leather products, tea, coffee, etc., arranging for appropriate distribution channels, attractive packaging, product development, pricing, etc. This process is true not only with India but also with almost all developed and developing economies.

2. International Marketing to International Business: The multinational companies which were producing the products in their home countries and marketing them in various foreign countries before 1980s, started locating their plants and other manufacturing facilities in foreign/host countries. Later, they started producing in one foreign country and marketing other foreign countries.

For example - Unilever established its subsidiary company in India, i. e Hindustan Lever Limited (HLL). HLL produces its products in India and markets them in Bangladesh, Sri Lanka, Nepal,

etc. Thus, the scope of the international trade is expanded into international marketing and international marketing is expanded into international business.

The 1990s and the new millennium clearly indicate rapid internationalisation and globalisation. The entire globe is passing at a dramatic pace through the transition period. Today, the international trader is in a position to analyse and interpret the global, social, technical, economic, political and natural environmental factors more clearly. Figure below presents international business model consisting of influencing environmental factors, stages, approaches, and modes of entry, goals of and advantages of international business.



Phase I - Early Stage : As the name suggests, this is the most ancient phase of international business. This phase relates to the ancient times when particularly Mesopotamian, Greek and Phoenician merchants carried-out trading activities in various other countries. According to ancient literature, the sea-borne trade was mainly controlled by Phoenicians, who exported Indian spices and textiles to Egypt, Turkey. Greece and Rome mainly through the west coast of India. Apart from Phoenicians, Roman merchants were actively involved in international business. In the Roman Empire, trade was facilitated by the construction of roads, development of the banking system and other infrastructural facilities. The decay of the Roman Empire and the rise of Turks and Arabian merchants brought about a major change in the operations of international business. The major part of international trade was now in the hands of Arabs who controlled strategic ports, overseas trade and markets. They used to purchase goods from India, especially from Sind trading ports and operated mainly in the region of Malaysia, Indonesia and Philippines.

Phase II - Pre-World War II Stage: Before the Second World War, international capital movements were highly influenced by the industrial revolution, which resulted into a significant effect on international business. The industrial revolution occurred in the United Kingdom and made the production of manufacturing goods convenient and cheaper through mechanisation of

the production process. Surplus goods were available for export to other countries. Innovations caused large-scale production of a variety of goods that required more raw materials from other countries. As a result, capital began to flow out, manufactured goods were exported by the European countries and food and raw materials by the less developed countries.

Phase III - Post-World War II Stage: After World War II, severe recession plagued the world economy in 1930. It was only after the mid-1940s that international business began to grow rapidly. The international business scenario can be divided into three phases since 1945 or after the Second World War.

IMPORTANCE

- ✓ Access to the new Market
- ✓ Diversification of Risk
- ✓ Increase revenue and Brand awareness
- ✓ Minimizes reliance on Current Market
- ✓ Utilization of Resources
- ✓ Collaborate with Skilled Individuals
- ✓ Increased Competition
- ✓ Foreign Exchange
- ✓ Employment
- ✓ Cost Advantage

FEATURES:

1. **Large Scale Operations:** In International business, all the operations are conducted on a very huge scale. Production and marketing activities are conducted on a very large scale. It first sell its goods in the local market and then the surplus goods are exported.
2. **Integration of Economies:** International Business integrates (combines) the economies of many countries. This is because it uses finance from one country, labour from other country and infrastructure from another country. It designs the product in one country, produces its parts in many different countries and assembles in another country and sells in many countries.
3. **Dominated by developed countries and MNC's:** International Business is dominated by developed countries and their multinational companies. Europe and Japan dominate the foreign trade, this is because they have high financial and other resources.
4. **Benefits to Participating countries:** International Business gives benefits to all participating countries. However, the developed countries get the maximum benefits, the developing countries also get benefits. They get foreign capital and technology. They get rapid industrial development. They get more employment opportunities.
5. **Keen Competition:** International Business has to face competition in the world market. The competition is between unequal partners. In this situation, the developed countries are in

favorable position as they produce the superior quality goods and services, but developing countries find difficulty to face competition.

6. Special role of science and technology: International Business gives a lot of importance to science and technology. Science and Technology helps the business to have a large scale production. Developed countries use high technology. International business helps them to transfer top-end technology to the developing countries.
7. International Restrictions: International Business faces many restrictions on the inflow and outflow of capital, technology and goods. Many government do not allow international business to enter their countries. They have many trade blocks, tariff barriers, foreign exchange restrictions, etc. All this is harmful to international business.
8. Sensitive Nature: The International Business is very sensitive in nature. Any changes in the economic policies, technology, political environment has a huge impact. Therefore it must conduct marketing research to find out and study these changes. They must adjust their business activities and adopt accordingly to survive changes.
9. International Business need accurate information to make appropriate decision.
10. International Business house need not only accurate but also timely information.
11. International Business house segments their markets based on the geographic market segment.

SCOPE

- International Trade -International trade forms the foundation of international business. It involves the exchange of goods and services between countries, encompassing exports and imports. Businesses engage in international trade to tap into new markets, access resources and raw materials, and take advantage of comparative advantages offered by different countries.
- Market Expansion - One of the primary scopes of international business is to expand market reach beyond domestic boundaries. Businesses seek growth opportunities by entering new markets and targeting international customers. This expansion may involve adapting products or services to fulfil the needs and preferences of different cultures and developing marketing strategies tailored to specific international markets.
- Global Supply Chains -International business relies on global supply chains, where components, raw materials, and finished products move across multiple countries. Managing and optimizing global supply chains involves coordinating suppliers, manufacturers, distributors, and logistics providers across borders to ensure efficient operations and timely delivery of goods and services.
- International Financial Management -International business involves various financial aspects, including foreign exchange management, international payment systems, and cross-border financing. Businesses must navigate currency exchange rate fluctuations, manage risks associated with international transactions, and make informed financial decisions to support their international operations.
- Legal and Regulatory Considerations - The international business operates within the legal and regulatory frameworks of different countries. This includes compliance with trade regulations, customs procedures, intellectual property laws, tax regulations, labour standards,

and environmental regulations in each market. Businesses must understand these legal complexities to ensure compliance and mitigate risks.

- Cultural and Ethical Considerations -International business requires an understanding and appreciation of different cultures, customs, and business practices. Cultural sensitivity and adaptability are essential to establish successful relationships with international partners, customers, and employees. Businesses also face ethical considerations related to social responsibility, sustainability, and corporate governance in different markets.
- Global Economic and Political Environment -The international business operates within a global economic and political landscape that shapes market conditions, trade policies, and business opportunities. Economic growth, political stability, trade agreements, tariffs, sanctions, and geopolitical dynamics influence the scope and dynamics of international business operations.

FACTORS AFFECTING

- Company Objectives
- Availability of Company Resources
- Level of Commitment
- International Experience

Internal
Factor



- Market Size
- Market Growth
- Government Regulation
- Level of Competition
- Physical infrastructure
- Level of Risk

External
Factor



MODES OF ENTRY INTO INTERNATIONAL BUSINES

1. **Direct Exporting:** Selling products directly to foreign markets without intermediaries. When products of domestic firms are directly exported and sold to potential foreign customers, it is known as direct exporting. In this form of exporting, business commitment is essential for being directly liable and accountable to manage market research, logistics, shipments, overseas distribution, and collection of payments.

2. **Indirect Exporting:** Selling products to a third party who then exports them to foreign markets. When products of the local businesses are indirectly sold to potential foreign customers through local export intermediaries, it is known as indirect exporting. In this form of exporting, products are first sold to intermediaries who further sell them directly to foreign wholesalers or customers. It offers convenience and low costs to local businesses as they do not incur any expense in the process of overseas distribution and logistics, identification of potential foreign markets, etc.
3. **Licensing Arrangements with Foreign Companies:** Granting a foreign company the rights to produce and sell products under the domestic company's brand name. Licensing agreement is the most common mode adopted by an organisation as it reduces the risk of internationalising. The agreement is due for renewal after five to seven years on the consent of parties attached to it. Licensing proves best when the organisation has a standardised product and the licensee has no right to misuse the licensor's technology and patents. In other cases, such as exercising complete control over technology, patents, firm-specific advantages, etc., licensing is not considered as the foremost option.
4. **Franchising Arrangements with Foreign Companies:** Allowing a foreign company to operate a business under the brand name and business model of the domestic company. Local businesses can use international franchising for accessing global markets. When an owner (franchisor) of a brand name, patent, copyright, trademark, business operation, property, process, or system grants legal rights to other business (franchisee) to use that property, process, or system for production of goods and services, in return for a fee, it is known as franchising. The local business can act as a franchisor by distributing its franchises to small foreign businesses and thus, can sell its products in the foreign markets. It will also be beneficial in building foreign market coverage and building brand name in international markets.
5. **Contract Manufacturing:** Outsourcing production to a foreign company while retaining control over product design and branding. Under contract manufacturing, one organisation (client) enters into a contract with another organisation to manufacture its products or parties. The organisation (client) in this way does not have to arrange for production infrastructure, workforce, raw materials, etc., and can focus entirely on sales and marketing of products. A local producer can be brought into agreement for a firm looking to sell its products in overseas market. Many of the world's leading organisations carry on their manufacturing processes through third party manufacturers in countries having low cost of labour. The advantages include less capital investment and ease of exit in case of product failure.
6. **Management Contracts:** Providing management expertise and services to a foreign company without taking an ownership stake. Local businesses, which lack in technology and managerial skills, can enter into an agreement with a foreign business for seeking managerial assistance, specialised guidance, and technical expertise for a specified period of time in return for a fee or a financial reward. This agreement is known as a management contract, and is very useful for a local business to enter into foreign markets. With the acquired management expertise and know-how, a local business can thus sell its products in global markets.
7. **Turnkey Projects:** Undertaking a project for a foreign client and handing over a fully operational facility. As the name suggests, turnkey project is when a licensor builds a completely new plant or production infrastructure, which is fully operational, and hand over the key to the licensee. As the licensee receives the keys of a fully functional plant, he can

start its operations. A turnkey project is a form of project which is constructed and sold to anonymous purchasers as a finished product. These projects are common in international business. Turkey projects are mostly applicable in constructions of plants such as steel factories, oil refineries, cement and fertilisers plants, etc.

8. **Direct Investment:** Investing directly in foreign operations, such as establishing manufacturing plants or offices.
9. **Joint Ventures:** Forming a partnership with a foreign company to share resources, risks, and profits. When two or more independent businesses are cooperatively joined together to form a new business identity, it is known as a joint venture. A local business can form a joint venture with foreign businesses and can easily enter into new foreign markets. Even if one organisation has acquired a low stake in another organisation, they are entitled to the right to have a say in managerial activities of the newly formed venture. It will also be beneficial in the cases, where foreign government policies and laws do not allow foreign control but promote joint ventures and local companies.
10. **Mergers and Acquisitions:** Merging with or acquiring a foreign company to gain immediate market presence and assets. Each mode of entry has its own advantages and disadvantages, and the choice depends on the company's objectives, resources, and the specific conditions of the target market.
11. **Strategic Alliances:** A strategic alliance occurs when two or more organisations enter into a contract or come together to perform a specific function and achieve mutually set objectives in the market. These organisations do not merge and remain anonymous. Recently, strategic alliances have become popular and are proven as an effective means to tackle weaknesses and enhance strengths. The main objectives behind setting-up a strategic alliance are market expansion, capital enhancement, access to latest technology, etc.
12. **Wholly-Owned Subsidiaries:** A wholly-owned subsidiary refers to a business, which is entirely owned by another entity. In a wholly-owned subsidiary, all the current-issued common stocks of the company are owned by a single holding business. With the permission of this holding organisation, subsidiary continues to operate, with or without direct involvement of the controlling entity. Thus, a local business can choose foreign direct investment for gaining entire control along with the ownership of international operations and business activities. However, developing a foreign subsidiary requires a lot of time management and optimum resource utilisation, and is considered as the most costly and difficult method of entering into a new global market. Moreover, there must be an assured demand of the product in the target market for developing a wholly-owned subsidiary.

ADVANTAGES

- High Living Standard
- Increased Socio-Economic Welfare
- Wider Markets
- Reduced effects of Business Cycle

- Reduced Risks
- Large Scale Economics
- Potential Untapped Markets
- Division of Labour and Specialisation
- Economic Growth of the world
- Optimum and proper utilization of world resources
- Cultural Transformation

DISADVANTAGES

- Political Factor
- Exchange Instability
- Entry Requirements
- Tariff Quotas and Trade Barriers
- Technology
- Government
- Quality
- High Cost

STAGES OF INTERNATIONAL BUSINESS:



Stage – 1: Domestic Company

Domestic Company limits its operations, mission and vision to the national boundaries. This company focus its view on the domestic market opportunities, supplies and customers. These companies analyze the national environment of the country, formulate the strategies to exploit the opportunities offered by environment. They never think of growing globally. They believe in saying, “ if it is not happening in home country, it is not happening”.

Stage – 2: International Company

Domestic companies which grows beyond their production capacities, think of internationalizing their operation. Those companies which decide to exploit the opportunities outside the domestic country are stage – 2 companies. These companies believe that the practices the people and products of domestic business are superior to those of other countries. The focus of these companies is domestic but extends the wings to the foreign countries. These companies select the strategy of locating a branch in foreign markets and extend same domestic operations into foreign markets.

Stage – 3: Multi-National Company

International companies turn into the Multi-National companies when they start responding to the specific needs of different country market regarding product, price and promotion. This stage is also referred as Multi-Domestic companies. These companies formulate different strategies for

different markets. They operate like a domestic market of country concerned in each of their market.

Stage – 4: Global Company

A global company is the one, which has either global strategy. Global Company either produces in home country or in a single country and focuses on marketing these products globally or produces globally and focuses on marketing these products domestically.

Stage – 5: Transnational Company

It produces, markets, invests and operates across the world. It is an integrated global enterprise that links global resources with global markets at profits. There is no pure Transnational.

DIFFERENCES BETWEEN DOMESTIC AND INTERNATIONAL BUSINESS:

Basis	Domestic Business	International Business
Approach	DB's approach is Ethnocentric Approach.	IB's approach is either Polycentric or Regiocentric Approach.
Operating	Db formulates the strategies,	IB formulates the strategies, product
Activities	product design towards the national markets, customers and competitors.	design towards the International markets, customers and competitors.
Geographic scope	DB's geographic scope is within the national boundaries of the domestic country	IB's geographic scope varies from the national boundaries of 2 countries up to a maximum of the entire globe.
Operating Style	Operating style including production, marketing is limited to the domestic country	Operating style can be spread to the entire globe.
Environment	It analyses and scan the domestic environment.	It analyses and scan the relevant international environment.

Quotas	Quotas imposed by various countries on import and export not influence the domestic business.	Quotas imposed by various countries on import and export significantly influence the international business.
Tariffs	Tariff rates of various countries do not affect the domestic business	Tariff rates of various countries do affect the international business.
Foreign Exchange rates.	Foreign exchange rates and their fluctuations do not directly and significantly affect the domestic business.	Foreign exchange rates and their fluctuations directly and significantly affect the international business.
Culture	Mostly domestic culture of the country affects the business operations	Mostly cultures of the various countries affect the operations of the international business.
Export-Import procedure	Domestic business is not affected	International business is affected by the procedure of the various countries.

Module – 2: International Business Environment

Introduction:

A global company has to formulate strategies based on its missions, objectives and goals. Strategy formulation is a must for a global company to make decisions regarding the markets to enter, product/service range to introduce in the foreign countries. The fundamental basis for strategy formulation is the environmental analysis. Environment provides the opportunities to the business to produce and sell a particular product. Environment sometimes poses threats and challenges to business. Business should enhance its strengths in order to face the challenges posed by the environment. Study of environment helps the business to formulate strategies and run the business efficiently in the competitive global markets.

Meaning of International Business Environment:

Environment means surrounding. International business environment means the factors/activities those surround/encircle the international business. In other words, business environment means factors that affect or influence the MNC's and transnational companies.

Factors that affect International Business include Social and Cultural factors (S), Technological Factors (T), Economic Factors (E), Political/Governmental factors (P), International factors (I) and Natural factors (N). [STEPIN]

William F. Glueck defined the term environmental analysis as, ‘ the process by which strategists monitor the economic, governmental/ legal, market/ competitive, supplier/ technological, geographic and social settings to determine opportunities and threats to their firms”.

CULTURAL ENVIRONMENT:

Culture is, “ the thought and behaviour patterns that member of a society learns through language and other forms of symbolic interaction – their customs, habits, beliefs and values, the common viewpoints which bind them together as a social entity.... Cultural change gradually picking up new ideas and dropping old ones, but many of the cultures of the past have been so persistent and self contained that the impact of such sudden change has torn them apart, uprooting their people psychologically.”

Factors influencing International Business:

1. Cultural attitude and International Business:

Dressing habits, living styles, eating habits and other consumption patterns, priority of needs are influenced by culture. The eating habits vary widely. Similarly, dressing habits also vary from country and county based on their culture.

2. Cultural Universal

Irrespective of the religion, race, region, caste, etc, all of us have more or less the same needs. These common needs are referred as “Cultural Universal”. The cultural Universal enable the businessmen to market the products in many foreign countries with modifications. Example: TV’s, cars, vedio games.

3. Communication with languages

Language is the basic medium of communication. There are more that 5000 spoken languages in the world. The same words in the same language may mean different things in the different regions of the country.

4. Time and Culture

Time has different meaning in different cultures. Asian di not need appointment to meet someone and vice-versa. But Americans, Europeans and Africans need prior appointment to meet someone and vice-versa. In Asian Countries, particularly in India, auspicious time is most important for the business, admission in a college, travel, etc.

5. Space and Culture

Space between one person to another person plays a significant role in communication. But, culture determines the pace/distance between one person and another person. Americans need more distance from a third person for privacy. This is unimportant for Indians.

6. Culture and Agreement

The USA is very legalistic society and Americans are very specific and explicit in their terms of agreement. The opposite is true in case of Asian countries. Asians never pick up face to face confrontation. They keep quiet in case of disagreement.

7. Culture and Friendship

Americans develop friendship even in short time. In fact, they don’t develop deep personal ties. Sometimes, people in the US complete the business and then develop friendship. People in India, Japan and China firs develop friendship through several means including eating together, presenting gifts and then transact business.

8. Culture and Negotiation

Americans are straightforward. Chinese negotiations are generally tough-minded and well prepared and use various tactics to secure the best deal.

9. Culture and Superstition

Superstitious beliefs like fortune telling, palm reading, dream analysis, phases of the sun and moon, vastu are prominent in Asian Countries and also in some African Countries. Americans knock on wood, cross their fingers and feel uneasy when a black cat crosses their path. Even Indians feel uneasy when a cat crosses their path.

10. Culture and Gifts

Culture attitudes concerning the presentation of gifts vary widely across the world. In Japan and India gifts are given first, but in Europe only after a personal relationship is developed. The international businessmen should study the customs of the society in offering gifts.

SOCIAL ENVIRONMENT

It consists of religious aspects, language, customs, traditions, tastes and preferences, living habits, dressing habits, etc., It also influence level of consumption. Example: The economic position of Germans and French people is more or less same, culturally different. So study of social environment helps in deciding type of market, product, etc.

The various factors of social environment effect on international business are:

1. Religion: Religion is one of the important social institution on influencing the business. The religious play a vital role in normal and ethical standards in production and marketing of goods and services. Most of the religion indicates in providing truthful and honest information.
2. Family system: In addition to religion, family system has impact on international business. Example: Most of Islamic countries, women play less significant role in economy and also in family with limited rights. But in Latin American countries, role of women is better compared to that of Islamic countries. But women play a dominant role in European and North American countries.
3. Behavioural factors affecting the business: Human behaviour affects the business include employee behaviour, consumer behaviour and behaviour of stake holders (Holders of debentures, bonds, etc. Cultural factors also influence the human behaviour cultural differences in various countries results in variations in human behavior from country to country. Business should consider behaviour pattern of social groups in hiring, marketing and in selecting supplier of inputs and market intermediaries.
4. Behaviour based on group membership: Attitude towards female employment vary from country to country. Example: Arabian countries discourage females from seeking employment. Family membership is paramount rather than individual achievements in certain societies like India, China, etc.,
5. Motivations and Achievements: Economic development of a country depends on motivations of people to work hard and desired of achievement. People rank the motivational needs differently from country to country. People from poor countries are mostly motivated by compensation while their counter parts in rich countries are motivated by the higher order needs like more responsibility, recognitions and other esteem needs.
6. Power Distance: Power distance denotes the relationship between superior and sub-ordinates. People in low power distance prefer little consultations between superior and subordinates. Subordinates in high power distance may prefer participating in decision making among themselves excluding the superior.
7. Individualism V/s Collectivism: Individualism and collectivism are consequences of the culture and affects the formation of group, productivity and marketing practices.

8. Risk taking behaviour: Employees in countries with the highest scores of the uncertainty avoidance prefer a system and a methodological work based on rules that are not to be deviated. Employees in countries with the low scores of uncertainty avoidance prefer flexible organization and flexible work. Example: People in some countries like Norway trust most of the people and people in some other countries like Brazil are very cautious in dealing with other.

TECHNOLOGICAL ENVIRONMENT:

Technology is the application of knowledge. In other words, technology has a systematic application of scientific or other organized knowledge to a particular task.

Features:

- a) Technology brings changes in the society, economy and politics.
- b) Technology effects on entire globe.
- c) Technology makes more technology possible.

Impact of technology on international business:

1. Investments in technology:

Advanced countries spend considerable amount on research and development for further advancement of technology. Example: German spends 50% of research and development budget on product innovation and remaining 50% on process innovation. But Japanese spend 70% on process innovation and 30% on product innovation.

2. Technology and economic development:

Technology is one of the significant factor, determines the level of economic development of a country. The differences between nation is mostly reflected by the level of technology. Example: India has the vast natural resources. It remain importing the products from other countries through exporting raw materials from itself due to its low level of technology.

3. Technology and International competition:

A few companies invent but many companies adopt scientific knowledge to generate wealth by application and communication. The invention process and global competitiveness are the two determinants of a national wealth. Example: Japan concentrates on innovation of automobiles. But Italy concentrates on innovation of textiles and leather.

4. Technology Transfer:

Technology and global business are interdependent. International business spread technology from advanced countries to developing countries by establishing the subsidiaries or establishing

the subsidiaries joint ventures with the host countries and arranging technological transfer to the company of developing countries through technological alliances.

5. Technology and location of plants:

MNCs locate their manufacturing facilities based on the technology. In other words, MNCs locate their plants with high technology in advanced countries and establish the labour driven manufacturing facilities in developing countries in order to get the advantages of cheap labour.

6. Scanning of Technological environment:

The level of technology is not same in all the countries. Advanced countries enjoy the latest technology while the developing nations face the consequences of outdated technology. Therefore, MNCs have to understand technology and analyse it before entering foreign market.

7. Appropriate technology:

The technology that suit one country may not be suitable for other countries. As such the countries develop appropriate technologies which suit their climatic conditions, social conditions, conditions of infrastructure etc., Ex: Japanese automobile industry design different type of cars which suit the Indian roads.

8. Technology and globalization:

The industrial revolution resulted in large scale production and the recent technological revolutions leads to the production of high quality products at lower cost. These factor forced the domestic company to enter the foreign countries in order to find market for their products. Thus technology is one important cause for globalization.

9. Information technology and globalization:

The information technology redefined the global business through its development like internet, www sites, e-mails, information super highways and on-line transactions brought significant development to the global business.

ECONOMIC ENVIRONMENT

Economic environment refers to all those economic factors which have a bearing on functioning of a business unit. Economic environment of various countries directly influences the international business. In fact, international economic environment and global business interact with each other.

The major changes include:

- Capital flow rather than trade or product flow across the globe.
- Establishment of production facilities in various countries.

- Technological revolution link the relations between the size of the production and level of employment.
- The macro economic factors of individual nations independently donot significantly control the global economies.

Economic system:

Economic system is one of the important factor of economic development that influences the international business to the greater extent. Economic system is an organization of institutions established to satisfy human needs or wants.

There are three types of economic system viz.,

- Capitalistic Economic System
- Communistic Economic System
- Mixed Economic System

Capitalistic Economic System: This system provides for economic democracy and customer choice for product or service. This system emphasizes on the philosophy of individualism, believing in private ownership of production and distribution facilities Ex: USA, Japan, UK.

Communistic Economic System: Under this system private properties and property rights to income are abolished. The State owns all the factors of production and distribution but the major limitation of this system is to reduced the individual freedom of choice ;and failed to achieve significant economic growth.

Mixed Economic System: Under this system, major factors of production and distribution owned, managed and controlled by the State. The purpose is to provide benefits to public more or less on equality basis. This system, does not distribute the existing wealth equally among people, but believes in full employment and suitable rewards for the workers efforts. Ex: India, UK, France, Holand etc.,

Countries classified on the basis of income:

- Low income countries
- Lower middle income countries
- Upper middle income countries
- Higher Income countries

Impact of economic environment on international business:

1. Economic growth: Business helps for the identification of peoples' needs, wants, production of goods and services and supply to the people. Thus it creates for the conversion of inputs into the outputs and enables for consumption. It leads to economic development. The high economic growth rate of the countries providing an opportunity of expanding market shares to international business firms, managers of the MNCs are interested in knowing the future

economic growth rate of various countries in order to select the market either to enter or concentrate more resources to the market.

2. Inflation: It is the another important factor that affects the market share of the international business firm. It affects the interest rate as the demand for money is high due to the higher prices and it also affects the exchange rate of the domestic currency in terms of various foreign currencies.
3. Balance of payments: Balance of Payments position of a country is an outcome of international business and also affects the future of the international business. Export and import trade in goods and services affects the current accounts position and flow of capital affects capital accounts position. The managers of MNCs should monitor the balance of payment position of the countries.
4. Economic Transition: The process of liberalization provided a significant opportunities to MNCs to enter most of the countries of the world either by locating their manufacturing facilities or expanding or both. Thus MNCs are immediate and greatest beneficiaries of L, P and G of world economies.

POLITICAL ENVIRONMENT:

The influence of political environment on business is enormous. Political system prevailing in a country promotes, decides, encourages, directs and control the business activities of that country. PE includes factors such as characteristics and policies of political parties, the nature of constitution and Government system and the Government environment influencing the economic and business policies and regulation.

1. Political ideology:

Political ideology is the body of complex ideas, theories and objectives that constitute a sociopolitical program. Political ideologies of the people in the same country vary widely due to the variations in culture, ethnic group, community groups, religious and the economic groups. These variations influence the people to form different political parties. The difference in political ideologies change the national boundaries. The IB manager should understand these ideologies of various in the countries in order to know the possible political tensions and instabilities.

2. Democracy:

It refers to political arrangement in which the supreme power is vested in the hand of people.

3. Political rights and Civil liberties:

It helps for evaluating the freedom of citizens. The major indicators of political liberties include:

- conduct of elections fairly and competitively
- power and ability of the voters in casting their votes in the process of electing
- people ability in forming political parties and groups.

The major indicators of civil liberties include:

- Degree of freedom of the press,
- Equality for all individuals under the law,
- Freedom from extreme in difference of Govt. and corruption.

4. Totalitarianism:

It refers to an individual freedom is completely subordinated to the power of authority of the state or concentrated in the hands of one person or in a small groups.

5. Political Relations and International business:

Political friendly relationship results in the growth of bi-lateral or multi-lateral trade. Ex: The friendly relationship between Indian companies but also the MNCs operating in India to have a close business linkages with the USSR. Similarly the friendly relationship between Pakistan and USA helped the Pakistan companies to have a close business linkages with USA.

Legal Environment

The policies, laws and regulations formulated by the government for conducting the business operations constitute the legal environment of the country. It is the government who formulates the legal system of a country. It is responsible for defining the priorities based on which the business activities are monitored and controlled. Along with the policies and procedures, the government also decides the constraints of business operations, which is an integral part of the legal environment. The legal system of a country refers to the ways through which its marketing practices are regulated, business transactions are prescribed, duties and rights of those involved in business transactions are defined and the methodology for legal redress is pronounced. Usually, it is the varying legal system of a country that affects the decision regarding whether or not to invest. The global legal environment regulates the working of organisations in the global market. The organisations that operate in their native places have to simply follow the rules of their countries, but those dealing with foreign nations have to follow both domestic as well as international laws.

Global marketing is affected by following three bodies of law:

- 1) International Laws: These are body of rules and regulations that countries agree to abide by. International law addresses agreements among countries with regard to trade, protection of property and other issues in the political and economic sphere. International law agreements, although not enforceable, can be appropriately addressed by international law bodies.
- 2) Host-Country Laws: These are laws of the different countries where the company operates. The legal system in the host country could differ substantially from that of the company's home country.
- 3) Home-Country Laws: These are laws of the company's home country. Home-country laws follow the company all over the world.

Legal Factors Affecting International Business

- 1) **Bribery:** Bribery refers to decision or conduct of the receiver. It is a punitive crime. According to Black's Law Dictionary, crime refers to "the offering, giving, receiving, or soliciting of any item of value to influence the actions of an official or other person in discharge of a public or legal duty". Bribery can be in any form, such as cash, product, property, privilege, promotion, benefits or advantages or can be just a promise to affect the action or vote of an individual.
- 2) **Decision regarding Branch or Subsidiary:** While entering in global market, a major decision in front of an organisation is whether to operate as a subsidiary or a branch.
 - i) **Branch:** A branch refers to a wing of the main office. It neither has much corporate formalities nor its own board of directors or stocks.
 - ii) **Subsidiary:** Subsidiaries are form of foreign direct investment. A subsidiary is an independent company in the eyes of law, although the main office may hold all the voting stocks.
- 3) **Counterfeiting:** Counterfeiting is an act of imitation. A counterfeited product is the one which is a duplicate of the original product. It is an attempt to trespass the monopoly of a product enjoyed by a company or state. The objective behind counterfeiting is to surpass the monopoly and to steal the benefits enjoyed by the original products. The term 'counterfeiting' is generally associated with forgery of documents and currencies. It involves imitating of products like medicines, garments, brand name, electronic gadget, watches etc.
- 4) **Strategic Concerns:** Various legal issues influence the manner in which the company creates its value. It includes everything from manufacturing to marketing the product. The strategic concerns of a global company are influenced by the following legal issues:
 - **Safety and Liability:** For operating in a specific country, organisations need to adhere to local legal norms. At times, such legal issues can be more severe than that in the native country and sometimes these can be different altogether.
 - **Marketing Behaviour:** The various aspects of marketing such as pricing, distribution and promotion are greatly influenced by the national rules, regulations and laws. For example, many countries prohibit the advertising of cigarettes on television.
 - **Product Origin:** The laws of the country also decide the distribution of the products around the world. It helps in determining who will be originally responsible for taking the product to the international market. It also helps in determining the share of profit enjoyed by the owners and local dealers.
 - **Legal Jurisdiction:** In case of legal proceedings, every country specifies the laws and the arbitrators who can be local people or the owners of the company. However, the main decision lies with the courts. Generally, companies try to prefer the laws of their native country for receiving favorable judgments.
 - **Arbitration:** Generally, conflicts of the companies are resolved through arbitration. The International Centre for Settlement of Investment Disputes, which is closely associated with the World Bank, hears a few complaints which are filed against governments. In case any government does not comply with its legal debts, it may not receive any financial help from the World Bank.
- 5) **Gray/Grey Market:** It refers to a situation where a company purchases products from one market and sells it in another market to enjoy price differential. Grey market products refer to original products which are sold through unauthorised dealers. Although the products are

similar to original product in every manner including the trademark, the only difference is of prices.

Influence of Legal Environment on International Business

1. **Deregulation:** On deregulation of industries, there is less restriction to enter a country. Hence, more organisations enter a country for conducting business, leading to tougher competition. For example, deregulation of principal markets creates a mad rush in primary capital markets through right issues and primary public offerings.
2. **Globalisation:** Globalisation has demanded organisations to be competent enough to beat the firms at both national and international levels. Significant alterations have been observed in the rules related to industrial competitions, as the organisations have to adopt a multi-dimensional approach for attaining a competitive edge and maintaining leading positions in the market.
3. **Concern for Natural Environment:** The last few decades have witnessed the formulation of various important rules and regulations for conserving and safeguarding the natural environment. Many laws and acts are approved by different countries' governments for conserving the nature and for identifying ways in which the global organisations can perform their business operations without harming nature. For example, in context of India, the laws related to emission of toxic fumes from automobiles and pesticides residual in edible items have clearly reflected the concern towards natural environment.
4. **Intellectual Property:** There are variations in the laws related to intellectual property from country to country. These laws are strictly defined in written form, but practically are not much severe. Even those nations which have agreed for protection of intellectual property through agreements depict the same trend.
5. **Product Liability and Safety:** Product security laws are put forward by many nations that oblige the firms to manufacture hazard-free products. The product liability means that the producers and sellers are responsible for any sort of harm, wrong or loss caused by faulty products. The affected person/parties on whom disaster is inflicted can file criminal or civil legal suits against the defaulter, demanding fine or imprisonment.
6. **Competition among Businesses:** Monopoly and customer's interests are safeguarded through competition laws. It is a well-settled fact that the consumer interests are safeguarded when healthy competition between the producers and sellers of the products is encouraged. For example, India has a competition law, just like antitrust law in several other nations. All countries ranging from South Korea, Brazil to the Czech Republic have passed competition laws.
7. **Bribes and Corrupt Practices:** An intentional act of convincing someone (generally who has authority and power) for acting inappropriately in favour of those offering bribe (in forms of gifts or money), is known as bribery. It is considered as the basic cause of corruption. Corruption can be defined as misuse of official positions for personal purposes. Bribery is illegal and prohibited in the most of the countries.
8. **Advertising and Sales Promotions:** An enormous amount is being spent all over the world for the purpose of marketing and advertisements. Just like marketing in the native place, false claims and untrue tales are made to increase the sales in the global market. In order to check upon such fake statements, appropriate laws have been made by most of the

countries. With the increase in the extent of marketing, these laws and orders are formulated by almost every nation across the world.

9. Contracts: A contract refers to an agreement signed by the parties who are interested in formulating rules for governing the business transactions. A significant role is played by the contract law in global business transactions as complications might arise due to varying legal systems of participating nations.

ETHICS IN INTERNATIONAL BUSINESS

Business ethics is concerned primarily with the relationship of business goals and techniques to specific human needs. It studies the impact of acts on the good of the individual, the firm, the business community and the society as a whole. Business ethics studies the special obligations that a man and a citizen accept when he becomes a part of the world of commerce.

- Respect for Local Laws: Comply with the laws and regulations of each country where the business operates
- Cultural Sensitivity: Understand and respect cultural differences and customs.
- Fair Labor Practices: Ensure fair wages, reasonable working hours, and safe working conditions for all employees.
- Environmental Responsibility: Adopt sustainable practices to minimize environmental impact.
- Anti-Corruption: Implement strict anti-corruption policies and practices.
- Transparent Communication: Maintain honesty and transparency in all communications and transactions.
- Fair Competition: Engage in fair competition, avoiding monopolistic and unethical practices.
- Human Rights: Support and respect the protection of internationally proclaimed human rights.
- Corporate Social Responsibility (CSR): Actively contribute to the welfare of the communities in which the business operates.
- Compliance and Enforcement: Regularly monitor and enforce compliance with ethical standards and policies.

IMPORTANCE

- Ethics corresponds to basic human needs
- Ethics and profit go together
- Law cannot protect society, ethics can
- Ethics facilitates better decision making
- Ethics improves Cooperation
- Ethics promotes Moral and Social values

UNETHICAL PRACTICES OF INTERNATIONAL BUSINESSES

1. **Corruption:** Corruption is a major unethical practice and obstacle of not only domestic business but also international business. In fact, some of the MNCs resort to corruptive practices to get their things done either at a fast rate or illegally.
2. **Money Laundering:** Money laundering refers to conversion of illegal money transactions into a legal asset. It is widely referred to the illegal money as dirty and legal money as clean. So, money laundering is to convert the illegal or dirty money into legal or clean money.
3. **Hawala:** Hawala is also known as hundi. It is an informal money transfer system from one country to another based on huge network of money brokers. Broker in a foreign country after receiving the money from the sender of money, calls another broker of his/her network in the recipient country and informs the recipients particulars. The broker in the recipient place hands over the money to the recipient. The broker charges a nominal commission from the sender.
4. **Piracy:** Piracy means stealing of someone's work. The purpose of piracy is to sell the stolen work before it is sold by the original/legal producer/developer or to sell it at price below that of the legal seller with a view to make money without bearing the process and risks of developing the product. MNCs also resort to piracy and copy the research results of the competitors and release the product before the legal producer does and/or sell the product at price less than that of the legal competitor.
5. **Transfer Pricing:** Transfer pricing is the price used by related parties or two or more subsidiaries of an MNC in order to settle the transactions among themselves. MNCs abuse transfer pricing by recording higher prices in the high tax countries in order to show low profits, and thereby less tax is payable. Thus, MNCs shift accounting profits from high tax countries to low tax countries.
6. **Tax Heavens:** Tax heavens are countries that levy less or nil corporate rates in order to attract MNCs for their economic development as well as creation of job opportunities. Thus, the countries compete among themselves by using less tax or nil corporate tax rate. This would create unhealthy competition among countries. Different countries/jurisdictions are heavens for different types of corporate taxes. MNCs tend to make use of this opportunity to shift investments from one country to another, and also from their home countries to host countries.

CORPORATE SOCIAL RESPONSIBILITY (CSR)

Corporate social responsibility (CSR) is the idea that a business has a responsibility to the society that exists around it. A self-regulating business model that helps a company be socially accountable to itself, its stakeholders and the public.

Ethical Practices: Adopting fair labor practices, ensuring safe working conditions, and promoting human rights.

- **Environmental Sustainability:** Reducing carbon footprints, managing waste responsibly, and using sustainable resources.

- Community Engagement: Investing in local communities through education, healthcare, and infrastructure development.
- Transparency and Accountability: Being open about business practices, financial performance, and CSR initiatives.
- Stakeholder Involvement: Engaging with employees, customers, suppliers, and the broader community to align CSR strategies with their needs and expectations.
- Compliance with International Standards: Adhering to global guidelines and standards, such as the UN Global Compact and ISO 26000.
- Philanthropy: Donating to charities, supporting social causes, and participating in disaster relief efforts.
- Sustainable Supply Chain Management: Ensuring that suppliers and partners also adhere to ethical and sustainable practices.
- Innovation for Sustainability: Developing new products and services that contribute to environmental and social well-being.
- Reporting and Communication: Regularly reporting CSR activities and achievements to stakeholders and the public.